



Derivatives Risk Management Statement

Copia Investment Partners Ltd (ACN 092 872 056)

Policy applicable to:

Copia	OC	Vertium	Chester	Artisan	ECP	TT
Yes	Yes	Yes	Yes	No	No	No

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1. Purpose of Statement

This statement is designed to ensure proper use of derivatives by Copia Investment Partners Ltd (**CIPL**) and its authorized representatives.

2. Application

This statement sets out our approach to managing risk associated with derivatives. This document applies to all **portfolios**, which is defined as managed investment schemes and discretely managed portfolios where CIPL, or an authorized representative, either acts as responsible entity/trustee and or provides investment management services under an investment management agreement.

Portfolio managers who are corporate authorised representatives of CIPL are referred to as **Partners**.

Portfolio managers who operate under their own licences, or as representatives of other licensees, are referred to as **External Managers**. Generally, CIPL has no control over how External Managers manage investments in derivatives. In these cases, CIPL will monitor the performance of External Managers by reports provided by the External Managers as required under the terms of investment management agreements or other contracts entered into by CIPL in its capacity as trustee or client, and CIPL shall ensure that any derivatives trading by the External Managers complies with the requirements of this Statement.

3. Definition of Derivatives

Derivatives are financial contracts with values that depend on, or are derived from, assets, liabilities or indices. Derivatives include, but are not restricted to: forward rate agreements; options; futures transactions; share ratios; swap transactions; warrants and other composites. Derivatives include instruments:

- a) traded on an exchange; or
- b) contracted between counterparties off an exchange (**Over the Counter** or **OTC** derivatives).

4. Derivatives use in context

Copia seeks to maximise returns within acceptable levels of risk, in accordance with the investment strategy of each portfolio. This statement should, therefore, be read in conjunction with the relevant constitutions, offer documents or investment management agreements for the portfolios being managed.

Derivatives should not be viewed as a separate asset class but must be consistent with the investment objectives and strategy of the relevant portfolio.

5. Use of derivatives

Derivatives may be used in portfolio management for risk management or to optimise investment strategy implementation.

Derivatives use must not be considered in isolation but rather as part of the overall investment strategy of a portfolio.

Derivatives may be used under the following circumstances:

a) Hedging:

Manage risk, reduce volatility or help to minimise impact of fluctuations in market values

b) Transaction efficiency and cost reduction:

Achieve transactional efficiencies

Assist in the achievement of best execution of security transactions

Alter investment holdings quickly and cost effectively c)

Investment tactical reasons:

Adjust security, sector or asset class exposures within the parameters set in the investment strategy of the fund or portfolio

Control the impact of significant transactions on portfolio valuations

Adjust the duration and yield curve position of fixed income portfolios

Manage credit and currency exposures

Manage asset allocation

Take advantage of market imperfections

6. Restrictions on the use of derivatives

Investment powers in relation to the use of derivatives may be limited. In respect of discretely managed portfolios, these restrictions are contained in the investment management agreements and, for trusts and managed investment schemes, within the schemes' constitutions and product disclosure documents.

Restrictions may also be contained in legislation or regulatory requirements relating to a specific portfolio.

C IPL has also specified that the following rules will be applied to all portfolios that use derivatives.

- (a) C IPL must approve the use of derivatives in all portfolios managed by its Partners (the current approvals are listed in **Schedule A**).

- (b) External Managers are required to comply with the terms of their mandates or financial instruments held by Copia when using derivatives in their portfolios.
- (c) Derivatives cannot be used to gear (or leverage) a portfolio except in the case of a specific authority. Gearing occurs where derivatives create an exposure to markets that could only otherwise be achieved through investment in the underlying security beyond the level of funds under management.
- (d) Derivatives should be fully backed by cash, securities that can be readily converted to cash within the settlement period or underlying physical positions on a delta adjusted basis.
- (e) Sufficient liquid assets must be available to meet derivative settlement commitments.
- (f) In relation to other derivatives used to alter asset allocation positioning:
 - a long derivatives position will require the exposure to be fully backed by cash and/or cash equivalent assets; and
 - a short derivatives position will require the exposure to be fully backed by the underlying asset, an asset with sufficiently similar relevant characteristics to be considered a reasonable hedge, or cash; and
 - where the investment restrictions of a portfolio permit, net short exposures to one asset class, sector or market are permitted, so long as the notional short exposure is backed by cash.
- (g) Derivatives cannot be used to create an overall short position exceeding 100% of the market value of the underlying physical securities and cash.

Where appropriate, CIPL will consider the net exposure of similar derivative products in assessing the effective exposure of the relevant portfolio.

Pre-trade compliance rules are built into the trading systems operated by each Partner and External Manager. These rules reflect the restrictions contained in constitutions, disclosure documents and investment management agreements, including those guidelines relating to derivatives.

Each portfolio manager is responsible for ensuring compliance with the trading restrictions and for the effective application of the pre-trading rules.

Post trading compliance assessments are performed each morning to confirm that all trading rules have been applied and to ensure that market valuations and gearing ratios rules have been met.

In the cases of market valuations-based rules, soft alert limits are set in addition to hard alert limits.

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7. Managing risk

There are various types of risks associated with derivatives. These can be broadly categorised under the headings of;

- a) market risk
- b) liquidity risk
- c) credit risk
- d) legal risk; and
- e) operations risk.

These risks and the processes used to monitor them are described below.

7.1 Risk Management Responsibilities

CIPL's internal structure ensures clear identification and segregation of responsibilities in relation to its Partners are outlined below.

- (a) Partners are responsible for making and implementing investment decisions, including those relating to derivatives.
- (b) Responsibility for the processing and settlement of transactions and the independent valuation of all portfolios is conducted by a back-office function maintained by CIPL or by third party service providers. These functions are separate from the Partners.
- (c) The Risk & Compliance Function is responsible for monitoring compliance with all limits, restrictions and regulations. The Risk & Compliance Function reports to the Chief Financial Officer and the Board of CIPL.

CIPL is not responsible for the managing the use of derivatives in portfolios managed by External Managers. In these cases, the following provides summary information about each External Managers' derivatives usage:

7.1.1. Artisan Global Discovery Fund

CIPL is the responsible entity of the Artisan Global Discovery Fund. The fund invests in shares in the Artisan Global Funds Public Limited Company which is authorised as an Undertaking for Collective Investment in Transferable Securities (**UCITS**) and organised under the laws of Ireland. The fund invests exclusively in shares attributable to the Artisan Global Discovery Fund (**AGDF Underlying Fund**), which is a sub-fund of the Artisan Partners Global Funds Public Limited Company, an External Manager.

A UCITS risk management process (**RMP**) for the Artisan Global Funds Public Limited Company has been approved by the Central Bank of Ireland. The systems used for monitoring of FDIs are set out in the risk management section of the RMP.

On a limited basis, the AGDF Underlying Fund may invest in derivatives. The main derivatives that the Underlying Fund may use are known as options, warrants and share purchase rights which are issued by a company to allow holders to subscribe for additional securities in that company at a

future date. However, as of the date of the preparation of this policy, the AGDF Underlying Fund does not use derivatives for investment purposes.

7.1.2. ECP Growth Companies Fund

Copia is the responsible entity of the ECP Growth Companies Fund. ECP Asset Management Pty Ltd is the External Manager of this fund. The fund does not invest in derivatives.

7.1.3. TT Global Environmental Impact Fund

CIPL is the responsible entity of the TT Global Environmental Fund which invests in shares in the TT International Funds Public Limited Company, which is authorised as an UCITS and organised under the laws of Ireland. The fund invests exclusively in shares attributable to the TT Environmental Solutions Fund (**TT Underlying Fund**), which is a sub-fund of the TT International Funds Public Limited Company, an External Manager. The TT Underlying Fund does not invest in derivatives.

7.1.4 HSBC Global Infrastructure Equity Fund

CIPL is the responsible entity of the HSBC Global Infrastructure Fund which invests in listed or about to be listed infrastructure holdings in a variety of markets.

HSBC Global Asset Management (UK) Limited is the Investment Manager of the Fund. The Investment Manager is an investment management firm that is authorised and regulated by the UK Financial Conduct Authority. The Investment Manager is responsible for managing the assets and investments of the Fund.

The Fund offers a hedged class of units. The hedged class of units hedges the Fund's currency exposure back to Australian dollars (**AUD**).

The Fund typically invests within the following guidelines:

- Equity securities listed or about to be listed;
- Rights, warrants, convertible securities, subordinated notes and preferred stock if issued by companies whose common stock would be properly held in the Fund; and
- Cash and cash equivalents.

The Fund will not borrow. The Investment Manager may use forward contracts to reduce currency risk. Derivatives are not used speculatively and will not be used for the purpose of gearing the Fund. The Investment Manager regularly monitors derivative positions to ensure that the Fund can meet all derivative contract obligations from the appropriate amounts of cash or physical assets held by the Fund.

7.2 Market Risk

Market risk is the risk of adverse movements in markets (including asset prices, volatility, changes in the yield curve or other market variables) for the underlying asset or the derivatives or the reference rate or index to which the derivative relates.

Market risk arises through the holding of any financial instrument, physical or derivative, which creates exposure to movements in interest rates, or prices of a security or market. The market risk associated with the use of derivatives is assessed in the context of the risk profile of the total portfolio. The mark-to-market value of a derivative does not give an indication of the effective

exposure of the portfolio to changes in market values of that derivative position. The effective exposure of a portfolio which is achieved through a derivative position reflects the equivalent amount of the underlying security that would provide the same profit or loss as the derivative position, given an incremental change in the price of the underlying security. In other words, a derivative position is translated into the equivalent physical holding, or its market value, which provides a meaningful measure in respect of asset allocation. Specific procedures used by Copia to control market risk are as follows:

- (a) All derivative positions are marked-to-market daily. This valuation is calculated independently of the Partners by the back-office team.
- (b) Portfolios will not be geared, as described above, except in the case of a specific authority.
- (d) Portfolio managers in each Partner monitor the open derivative positions closely, and with the exception of temporary market volatility, where movements in market value take the exposure to any class of asset outside the set guidelines, portfolio managers will take steps to rectify the position as soon as possible.
- (e) All new classes of derivative instruments and the use of any new derivative exchange must go through the new instrument review process with a final review by the Chief Financial Officer or his delegate, the portfolio manager of the Partner involved and the Risk & Compliance Function prior to the instruments being traded. New instruments must also be approved by the Board to ensure that key operational risks have been identified and mitigated. Any such use is subject to the specific guidelines and restrictions for each portfolio. The review of any new instruments includes consideration of all aspects of the instrument, in particular the physical base or make-up of the instrument, flexibility, liquidity, counterparty risk, trading methodology, legal structure and required documentation.
- (f) Both the relevant portfolio manager of the Partner and Risk & Compliance Function are responsible to monitor the use of derivatives against established guidelines and this Statement.
- (g) In times of high market volatility or in cases where derivatives expose the portfolio to higher levels of market risk, the portfolio managers may undertake periodic stress testing to ensure compliance with the investment management agreements, offer documents, constitutions and this statement given a reasonable range of adverse market movements.

7.3 Basis Risk

Basis risk is the risk that the value of a derivative will not move in line with the related physical position.

An example of basis risk is when the value of a portfolio of Australian equities that does not move in line with the value of the Share Price Index future for which the fund is based upon, which may be due to the differences in weighting of the assets in the Portfolio and those in the Index.

Basis risk is controlled in the following manner:

when a derivative contract is entered into, the portfolio manager takes into consideration the likelihood that the price of a derivative will move in line with the underlying physical position and assesses whether the level of basis risk is acceptable; and

management of the derivatives on an ongoing basis as part of the daily Portfolio review by the portfolio manager.

7.4 Liquidity Risk

There are two types of liquidity risk that arise from investing in derivatives. These are:

7.4.1 Market Liquidity Risk

Market liquidity risk is the risk that an investment manager may not be able to, or cannot, unwind or offset a position due to inadequate market depth or disruptions in the marketplace.

7.4.2 Funding Liquidity Risk

Funding liquidity risk is the risk that an investment manager may not be able to meet the future cash flow obligations from the derivative activities such as meeting margin calls on futures contracts. The process by which liquidity risk is managed is as follows.

- (a) Prior to entering into any new derivative instrument, the portfolio manager will consider the market depth of that instrument as part of the review and sign-off process.
- (b) The portfolio manager is responsible for monitoring market depth on an ongoing basis.
- (c) Appropriate cash levels are maintained in portfolio based on the composition of that Portfolio. At a minimum, sufficient cash reserves and cash equivalent instruments are maintained in the portfolio to fund deposits and margin calls equal to the impact of a considered maximum movement of the net (short plus long) derivative position.

7.5 Counterparty (Credit) Risk

Counterparty risk is the risk that a counterparty will fail to perform its contractual obligations under a derivatives contract. OTC derivatives can have higher counterparty risks compared with those traded on exchanges. Where derivatives are entered into on an “*over-the-counter*” basis, formal documentation will be executed (including an International Swaps and Derivatives Association master agreement (**ISDA**) and credit support annexures where applicable). In addition, CIPL and its authorized representatives will only enter into derivatives contracts with approved counterparties. All counterparties must be submitted for detailed credit review.

CIPL seeks to minimise the counterparty risk by limiting the level of unrealised gains on outstanding derivative contracts. Counterparty limits are applied in respect of dealing in aggregate for all clients and are reviewed regularly to ensure adequacy. Limit usage is monitored on a daily basis.

7.6 Legal Risk

Legal risk is the risk that a derivative contract will not be legally enforceable. A number of factors contribute to legal risk and include:

- (a) the legal capacity and authority of a counterparty to enter into a contract
- (b) the contract documentation being insufficient or unenforceable; or
- (c) the transaction breaching regulatory requirements. CIPL’s

process for managing legal risk is as follows:

Exchange traded transactions are subject to market standard documentation, confirmation and settlement procedures. Participants in the exchange are subject to regulation. Under

these regulations the capacity of CIPL to deal on behalf of clients is established before transactions are undertaken.

Evidence of the legal capacity of the counterparty to enter into a new class of derivative transactions is sought prior to entering into any OTC derivative transaction and legal advice sought if required. Standard documentation is used where possible when dealing in over-the-counter derivatives, for example, the ISDA master agreement. Alternatively, specific documentation may be developed and is subject to independent legal advice.

7.7 Operational Risk

Operational risk is the risk that deficiencies in the effectiveness and accuracy of the information systems or internal controls will result in a material loss.

Copia's organisational structure separates the investment management and operations functions of settlements, monitoring, reporting and control. The processes used to manage operations risk include:

- (a) authorisation of derivative transactions by the relevant Partner's portfolio manager
- (b) confirmation of derivative contract notes sourced from third parties by operations personnel independently of the Partner's portfolio managers
- (c) reconciliation of derivative transactions to external information ensuring completeness, accuracy and timeliness of accounting entries
- (d) use of independent pricing sources in all derivative valuations
- (e) daily back up of all systems; and
- (f) internal regulation of all staff dealing on personal accounts.

8. Foreign currency

Foreign currency exposures arise from investment in assets denominated in foreign currency. These exposures are part of the investment strategy of the individual investment Portfolio and either CIPL or the responsible portfolio manager manages the currency exposure. The principles in this Statement for derivatives are applied to the management of foreign currency exposures and the use of foreign currency derivatives. Derivatives used for foreign currency management will be subject to limits and ranges that are consistent with each portfolio's permitted level of currency risk. However, due to the nature of currency hedging (use of proxy currencies and targeting a 100% hedge ratio) negative currency positions may arise on an effective exposure basis. The portfolio managers are responsible for monitoring the appropriateness of any proxy currencies used to ensure that the basis risk is minimised.

9. Personnel management

Copia ensures that all personnel engaged in the management and administration of derivatives positions are appropriately skilled and qualified for positions held.

All investment decisions are taken by portfolio managers who are responsible for the portfolios.

10. Assessment of controls

CIPL is subject to ongoing monitoring by the Risk & Compliance Function which address the control environment of its investment management operations.

Control weaknesses are communicated by a report to management and a specific plan for remedying those weaknesses must be agreed between the Risk & Compliance Function and management.

CIPL is subject to external audit in respect of its internal controls. The management of CIPL is responsible for ensuring that internal controls are appropriate and operating effectively. The compliance monitoring process includes checks to ensure that controls are being maintained. Any breaches of limits or other restrictions are notified to the Chief Financial Officer and the Board.

The Risk & Compliance Function maintains a log of all breaches. Prompt corrective action is taken in respect of any breach.

11. Reporting

11.1 Internal Reporting to the Board

The Partners and the Risk & Compliance Function will provide such reports as are necessary to the CIPL to enable it to fulfil its responsibilities. The Board receives reports on the adequacy of internal controls, including notification of all material breaches.

11.2 Client Reporting

All clients and interested parties receive regular reports on their investments in the portfolios, including:

- (a) the provision of this Statement and any subsequent changes made to this statement
- (b) regular reporting on asset exposures including the impact of derivatives; and
- (c) any matter that in the professional judgement of CIPL is a significant occurrence in relation to the use of derivatives.

Copies of this Statement are made available to relevant parties upon request.

12. Persons responsible for implementing this statement

The Chief Financial Officer and the heads of the Partners are responsible for ensuring that each investment team complies with this Statement.

13. Board approval

The Board has approved this Statement and is ultimately responsible for ensuring that this Statement is adhered to and continues to be appropriate.

Schedule A – Rules for Partners

The following derivatives are approved for trading by the indicated Partners only:

Vertium Asset Management Pty Ltd

Vertium Asset Management Pty Ltd may deal in the following derivatives in operating the Vertium Equity Fund:

1. put and call options over listed Australian shares traded on the Australian Stock Exchange

Restrictions:

All sold call options must be 100% backed by physical stock

All sold put options must be 100% backed by cash

All option positions must be valued daily using Black-Scholes to monitor the option's intrinsic and extrinsic values.

2. index futures (based on the S&P/ASX Share Price Indices) traded on the Australian Stock Exchange limited to:

S&P/ASX 200 Gross Total Return Index Futures

ASX SPI 200 Index Futures

S&P/ASX 200 Sector Futures

Restrictions:

Contracts must be marked to market daily (calculated as the net amount having sold an equivalent futures contract with the same maturity date for the applicable open contract)

Contracts must not be used for gearing (e.g., the notional contract values must be covered by cash held by the Fund)

Chester Asset Management Pty Ltd

Chester Asset Management Pty Ltd may deal in the following derivatives in operating the Chester High Conviction Fund:

1. Exchange Traded Funds (**ETFs**) that derive their values from a reference index.

Most ETFs are not derivatives, but managed investments schemes.

Where an ETF derives its unit value by reference to an index, and where the ETF's assets comprise of either index futures or OTCs to support the valuation of its units, then that ETF may be a derivative. The restrictions below only apply to ETFs that are derivatives.

Restrictions:

Leveraged ETFs are prohibited (e.g., ETFs that aim to provide returns that are a multiple of the underlying index)

All derivative ETFs must not exceed 10% of the portfolio on current market value

HSBC Global Infrastructure Equity Fund

The Investment Manager will effect derivative transactions in accordance with the following guidelines:

1. The fund will be initially hedged (on the launch) on the same day that the equity trades will be executed (i.e. trade date) to minimize foreign exchange (**FX**) risk.
2. Following the initial launch, the incremental FX hedging will be carried out on trade date (t) or trade date +1 (t+1).
3. There will be a +/- 5% threshold for each currency before the FX hedging will need to be rebalanced.
4. Hedging will be achieved by entering into forward FX contracts which have the effect of providing short exposure to currencies in equal and opposite amount to those generated by the long equity positions.
5. For some Non-Deliverable Currencies (i.e., BRL), the FX hedging will require a 2-step hedging through US dollar (**USD**).
6. Due, principally, to the effects of fund flows, equity market movements and corporate actions, the hedge ratio is likely deviate from 100% over time, potentially giving rise to the requirement to adjust the magnitude of the forward FX exposure.
7. In the instances when an adjustment is required, the investment team will use the same maturity date as the existing FX forwards and these will be rolled at expiry, usually end of month.
8. The investment team will rely on:
 - Bloomberg BDS / AIM to monitor overall exposure and instruct FX trades.
 - Customised excel file to monitor overall exposure.
 - Given their role of Responsible Entity, Copia will monitor hedging level as well, providing another layer of compliance to the hedging policy.

-- End of policy --